SECTION A – 2 MARKS

Q1. (a)

An **accounting standard** is a written statement of rules for recognising, measuring, presenting and disclosing transactions in the financial statements. In India the Accounting Standards Board prepares them and the Council of the ICAI issues them. A standard cannot override the law.

Q1. (b)

1. **Standardisation:** Similar transactions are recorded in one accepted way, so alternative treatments are reduced.
2. **Disclosure:** Extra information is given in the statements, so users can understand the figures.
3. **Comparability:** Statements of different enterprises, and of the same enterprise over the years, can be compared.

Q1. (c)

Inventories, as per AS 2 (Revised), are assets held for sale in the ordinary course of business, or in the process of production for such sale. They also include materials and supplies to be consumed in production or in rendering services.

Q1. (d)

Property, plant and equipment, as per AS 10 (Revised), are tangible items held for use in production or supply, for rental to others, or for administration. They are expected to be used for more than one period, that is more than 12 months.

Q1. (e)

1. **Current investment:** Readily realisable, and intended to be held for not more than one year from the date of purchase.
2. **Long-term investment:** Any investment other than a current investment, such as shares, debentures, bonds or government securities held for a longer period.

Q1. (f)

Borrowing cost, as per AS 16, means interest and other costs incurred in connection with the borrowing of funds. It includes interest on loans, amortisation of discount or premium, finance charges on leases, and exchange differences treated as an adjustment to interest.

Q1. (g)

1. **Patents:** The exclusive right over an invention.
2. **Copyrights:** The right over books, music and other works.
3. **Trademarks:** A name, symbol or mark that identifies goods.
4. **Computer software:** Programs used by the enterprise.

Q1. (h)

A **lease**, as per AS 19, is an agreement by which the lessor gives the lessee the right to use an asset for an agreed period, in return for a payment or a series of payments. A finance lease transfers substantially all the risks and rewards of ownership. An operating lease does not.

Q1. (i)

1. **Short-term benefits:** Wages, salaries, paid leave and bonuses payable within twelve months.
2. **Post-employment benefits:** Gratuity, pension and other retirement benefits.
3. **Other long-term benefits:** Long-service leave and deferred compensation.
4. **Termination benefits:** Amounts payable when an employee's service comes to an end.

Q1. (j)

AS 29 deals with provisions, contingent liabilities and contingent assets. A provision is recognised only when there is a present obligation from a past event, an outflow is probable, and a reliable estimate can be made. Contingent liabilities are disclosed, not recognised. Contingent assets are not recognised.

SECTION B – 5 MARKS

Q2.

1. **Identification of the area:** The Accounting Standards Board, set up by the ICAI in 1977, selects the subject that needs a standard.
2. **Study group and draft:** A study group is formed, and it prepares a draft which is circulated for views.
3. **Exposure draft:** The draft is finalised as an exposure draft and issued to the public and interested bodies.
4. **Comments and modification:** Comments received on the exposure draft are considered, and the draft is modified.
5. **Issue of the standard:** The Council of the ICAI issues the Accounting Standard. For companies, the Ministry of Corporate Affairs notifies it. A standard cannot override the law.

Q3.

1. **Meaning:** Amortisation is the systematic allocation of the depreciable amount of an intangible asset over its useful life.
2. **Depreciable amount:** It is cost, or the amount substituted for cost, less residual value. The charge begins when the asset is available for use and is recognised as an expense.
3. **Straight-line method:** An equal amount is written off each year over the useful life. This method is used when the pattern of benefits cannot be determined reliably.
4. **Diminishing-balance method:** A fixed percentage is applied each year to the written-down value of the asset.
5. **Unit-of-production method:** The amount is allocated on the basis of the units expected from the asset. The chosen method is reviewed at each year end, and a change is treated as a change in estimate.

Q4.

1. **Present obligation:** The enterprise has a present legal or constructive obligation as a result of a past event.
2. **Probable outflow:** An outflow of resources embodying economic benefits is probable, meaning more likely than not.
3. **Reliable estimate:** A reliable estimate can be made of the amount of the obligation.
4. **Best estimate:** The provision is the best estimate of the expenditure required to settle the obligation at the balance-sheet date. If any one condition fails, no provision is made.
5. **If not recognised:** Where the outflow is not probable, or the amount cannot be estimated, the item is a contingent liability and is disclosed, unless the chance of outflow is remote. A contingent asset is not recognised.

Q5.

Fixed production overhead is absorbed on normal capacity. Rs. 20,00,000 / 2,00,000 kg = Rs. 10 per kg.

Particulars	Rs. per kg
Material cost	200
Direct labour	40
Direct variable overhead	20
Fixed production overhead	10
Cost of finished goods	**270**

Value of closing inventory = 4,000 kg × Rs. 270 = **Rs. 10,80,000**.

Q6.

Annual depreciation on cost = 10% of Rs. 3,000 lakhs = Rs. 300 lakhs. No residual value is given.

Particulars	Rs. lakhs
Cost of machinery	3,000
Less: Depreciation for 4 years (300 × 4)	1,200
Carrying amount at the end of year 4	1,800

Particulars	Rs. lakhs
Revalued amount adopted	2,700
Revaluation surplus (2,700 – 1,800)	900

Useful life is unchanged, so 6 years remain. Depreciation = 2,700 / 6 = **Rs. 450 lakhs a year**.

At the end of	Rs. lakhs
Year 5 (2,700 – 450)	**2,250**
Year 6 (2,250 – 450)	**1,800**

Q7.

Value in use includes the cash flows from use and the residual value on disposal.

Year ended	Cash flow (Rs. lakhs)	Factor at 10%	Present value
31.03.2012	50	0.909	45.45
31.03.2013	30	0.826	24.78
31.03.2014	30	0.751	22.53
31.03.2015	20	0.683	13.66
31.03.2016	20	0.620	12.40
Residual value	5	0.620	3.10
Value in use			**121.92**

Recoverable amount is the higher of net selling price (Rs. 60 lakhs) and value in use (Rs. 121.92 lakhs), so **Rs. 121.92 lakhs**. Carrying amount is Rs. 100 lakhs, so there is no impairment loss.

SECTION C – 10 MARKS

Q10.

The Council of the ICAI classified non-company entities, for periods beginning on or after 1 April 2020, into four levels. Level I is large. Levels II, III and IV are medium, small and micro, and together they are called MSMEs.

Level I

1. **Listed:** Its securities are listed, or are in the process of listing, on any stock exchange in India or outside India.
2. **Bank or insurer:** It is a bank, including a co-operative bank, a financial institution, or it carries on insurance business.
3. **Turnover:** Turnover, excluding other income, exceeds Rs. 250 crore in the immediately preceding accounting year.
4. **Borrowings:** Borrowings, including public deposits, exceed Rs. 50 crore at any time during the immediately preceding accounting year.
5. **Holding and subsidiary:** A holding or subsidiary entity of any of the above is also Level I. Level I entities comply in full with all Accounting Standards.

Level II

6. **Turnover band:** It is not Level I, and its turnover, excluding other income, exceeds Rs. 50 crore but does not exceed Rs. 250 crore.
7. **Borrowings band:** Borrowings, including public deposits, exceed Rs. 10 crore but do not exceed Rs. 50 crore. Holding and subsidiary entities of such an entity are also Level II.

Level III

8. **Turnover band:** It is not Level I or Level II, and its turnover, excluding other income, exceeds Rs. 10 crore but does not exceed Rs. 50 crore.
9. **Borrowings band:** Borrowings, including public deposits, exceed Rs. 2 crore but do not exceed Rs. 10 crore. Holding and subsidiary entities of such an entity are also Level III.

Level IV

10. **Micro entities:** Every non-company entity not covered above is Level IV. Levels II, III and IV get exemptions, and an entity that uses them discloses its level in a note. This scheme does not apply to an entity which must follow Ind AS.

Q11.

Current investments are carried at cost or market value, whichever is lower. Bonus of 1:2 is one new share for every two held.

Cost of 1,000 shares on 1.4.2021

Particulars	Rs.
Price paid (1,000 × Rs. 120)	1,20,000
Brokerage at 2%	2,400
Stamps, 50 paise per Rs. 100 of Rs. 1,20,000	600
Cost	**1,23,000**

Bonus shares = 1,000 × 1/2 = 500. Shares after bonus = 1,500. Average cost = 1,23,000 / 1,500 = **Rs. 82**.

Sale of 500 bonus shares on 31.3.2022

Particulars	Rs.
Sale price (500 × Rs. 90)	45,000
Less: Brokerage at 2%	900
Net proceeds	44,100
Less: Cost (500 × Rs. 82)	41,000
Profit on sale	**3,100**

Closing holding: cost Rs. 82,000 (1,000 × Rs. 82). Market value Rs. 90,000 (1,000 × Rs. 90). Carried at **Rs. 82,000**. Rs. 175 was the cum-bonus price, not the year-end price.

Investment account — TELCO Ltd. equity shares

Debit	Nominal	Cost	Credit	Nominal	Cost
To Bank (1.4.2021)	1,00,000	1,23,000	By Bank (sale)	50,000	44,100
To Bonus shares	50,000	—	By Balance c/d	1,00,000	82,000
To Profit and loss	—	3,100			
	1,50,000	**1,26,100**		**1,50,000**	**1,26,100**

Nominal value is Rs. 100 a share. Balance brought down: 1,000 shares, nominal Rs. 1,00,000, cost Rs. 82,000.

Q12.

The specific loan is used first. The rest of the expenditure takes the weighted average rate of the general loans.

Loan (Rs.)	Rate	Interest (Rs.)
4,00,000	9%	36,000
5,00,000	12%	60,000
3,00,000	10%	30,000
12,00,000		**1,26,000**

Weighted average rate = 1,26,000 / 12,00,000 × 100 = **10.5%**. Specific-loan interest = 2,00,000 × 8% = **Rs. 16,000**.

Date	Amount (Rs.)	Months	Weighted (Rs.)
01.04.2017	3,00,000	12/12	3,00,000
31.05.2017	2,40,000	10/12	2,00,000
01.08.2017	4,00,000	8/12	2,66,666.67
31.12.2017	3,60,000	3/12	90,000
	13,00,000		**8,56,666.67**

From general borrowings = 8,56,666.67 – 2,00,000 = Rs. 6,56,666.67. Interest = 6,56,666.67 × 10.5% = **Rs. 68,950**. **Interest capitalised** = 16,000 + 68,950 = **Rs. 84,950**. Building = 13,00,000 + 84,950 = **Rs. 13,84,950**. Journal entry:

Particulars	Debit Rs.	Credit Rs.
Building account Dr.	13,84,950	
To Bank account		13,00,000
To Interest on specific loan		16,000
To Interest on general borrowings		68,950